

Paradiem

The Morning Brief

JUNE 17, 2026

Warsh Day

Tuesday's chip reversal sets up Warsh's debut dot plot and press conference.

S&P 500	NASDAQ	BRENT (BNO)	FOMC DECISION	FEAR & GREED
\$750.33 · ↓0.60%	\$729.86 · ↓1.90%	\$43.89 · ↓4.69%	2 PM ET · ~97% hold per CME	~41 · Fear (CNN, Jun 16 read; drop fell back to Crypto at 22)

SECTION 01

Markets — Chips Mean-Revert Into Warsh

TUESDAY REVERSED MONDAY'S CHIP-LED VERTICAL PER THE DATA DROP — THE S&P 500 PROXY CLOSED AT \$750.33 (↓0.60%), THE NASDAQ PROXY AT \$729.86 (↓1.90%), AND THE RUSSELL 2K PROXY AT \$292.08 (↓0.87%) WHILE THE DOW PROXY PRINTED A FRESH HIGH AT \$521.44 (↑0.58%) REPORTEDLY CLOSING ABOVE 52,000 FOR THE FIRST TIME PER THESTREET COVERAGE — TECH (XLK ↓2.79%) CARRIED THE DRAG WHILE FINANCIALS (XLF ↑1.48%), UTILITIES (XLU ↑0.72%), AND INDUSTRIALS (XLI ↑0.65%) LED THE CONSTRUCTIVE COHORTS, WITH TLT ↑0.55% TO \$86.19 AS THE CURVE BID INTO THE DECISION

The semiconductor reversal was the day's defining tape: MRVL ↓9.78% to \$278.67, CRDO ↓7.80% to \$239.18, AMD ↓7.30% to \$507.29, LRCX ↓5.03% to \$369.34, NXPI ↓4.11% to \$302.89, TSM ↓3.53% to \$425.83, QCOM ↓3.05% to \$214.07, and NVDA ↓2.37% to \$207.41 per the data drop, unwinding the vertical Monday move that the prior brief framed as a deal-resolution risk-on. The dispersion is the analytical signal: the Dow's fresh high alongside the chip drawdown points to a rotation tape into a Warsh FOMC where the cyclical-defensive sleeves (CAT ↑1.23%, LMT ↑1.05%, GD ↑1.27%, GPC ↑2.51%, ABT ↑2.20%) gained while the AI-infrastructure complex digested gains. VST ↑3.32% to \$158.61 led FCI's growth book per the data drop on Bernstein's reported power-demand commentary; TOL ↑3.07% to \$153.27 carried the homebuilder constructive tape. Carson's active SPY \$645.80 support remained materially untouched (Tuesday S&P proxy intraday low \$749.88 per the data drop).

TUE CHIP DRAWDOWN	MRVL ↓9.78% · CRDO ↓7.80% · AMD ↓7.30%
TUE CHIP DRAWDOWN (CONT.)	LRCX ↓5.03% · NXPI ↓4.11% · TSM ↓3.53%
DEFENSIVE/ CYCLICAL BID	CAT ↑1.23% · LMT ↑1.05% · GD ↑1.27% · GPC ↑2.51%
POWER/HOUSING	VST ↑3.32% · TOL ↑3.07%
SECTOR LEAD	XLF ↑1.48% · XLU ↑0.72% · XLI ↑0.65%
SECTOR DRAG	XLK ↓2.79% · XLE ↓0.34%
TLT (CURVE)	\$86.19 · ↑0.55% · bid into FOMC
UVXY (VOL)	\$25.84 · ↑0.27% · vol drain paused

WARSH'S FIRST FOMC DECISION LANDS AT 2 PM ET WITH THE FRESH DOT PLOT AND SUMMARY OF ECONOMIC PROJECTIONS, FOLLOWED BY THE 2:30 PM PRESS CONFERENCE PER THE FEDERAL RESERVE CALENDAR — CME FEDWATCH IMPLIES AN APPROXIMATELY 97% PROBABILITY OF A HOLD AT THE 3.50–3.75% TARGET RANGE PER STOCKTITAN AND KIPLINGER PREVIEW COVERAGE — THE BINDING SIGNALS SIT IN THE DOT-PLOT MEDIAN, THE BIAS-LANGUAGE SHIFT, AND WARSH'S COMMUNICATION STYLE; PER REUTERS AND RAYMOND JAMES COVERAGE CITED VIA STOCKTITAN, THE DOT PLOT MAY DROP THE LAST

PROJECTED 2026 CUT, FORMALLY ENDING THE EASING CYCLE, WHILE PER TRADINGKEY COVERAGE WARSH HAS HISTORICALLY CRITICIZED FORWARD GUIDANCE AND MAY WITHHOLD HIS OWN DOT

May Retail Sales prints at 8:30 AM ET per the U.S. Census Bureau release calendar, layering onto durable goods, international trade, and wholesale inventories per the StockTitan economic-calendar preview; the data set frames the pre-decision tape into the 2 PM release. For FCI's rate-sensitive sleeves (TLT ↑0.55% Tuesday, the AI-infrastructure growth backbone, IBIT ↓1.51%, ETHA ↓1.60%), the SEP's 2026/2027 trajectory and Warsh's press-conference framing carry material weight. Per CNBC and Reuters coverage cited via the data drop's headline run, traders held the energy and metals complexes steady awaiting the decision — Brent (BNO ↓4.69% to \$43.89), WTI (USO ↓4.74% to \$115.47), Gold (GLD ↑0.27% to \$397.63), Silver (SLV ↓0.13% to \$63.39). Friday June 19 is the Juneteenth holiday with U.S. equity and bond markets closed per the standard exchange calendar, compressing the post-FOMC trading window to Thursday alone before the Geneva signing weekend.

The chip-cohort mean reversion, the Dow's defensive-cyclical lift, and the TLT bid frame a rotation tape into Warsh's first dot plot. Avoid Erosion.

Geopolitics — Hormuz Premium Bleeds, Geneva Looms

BRENT AND WTI EXTENDED THEIR DRAWDOWN ON THE IRAN-FRAMEWORK TAPE PER REUTERS COVERAGE CITED VIA THE DATA DROP HEADLINE RUN — BNO ↓4.69% TO \$43.89 AND USO ↓4.74% TO \$115.47 ON TUESDAY — AS THE FRIDAY JUNE 19 GENEVA SIGNING CEREMONY APPROACHES WITH VICE PRESIDENT JD VANCE AND SPECIAL ENVOY STEVE WITKOFF REPORTEDLY REPRESENTING THE UNITED STATES AND IRANIAN PARLIAMENT SPEAKER MOHAMMAD BAQER QALIBAF REPORTEDLY SIGNING FOR IRAN PER THE PRIOR BRIEF AND REUTERS COVERAGE; PER REUTERS TUESDAY COVERAGE, THE LARGEST TANKER OPERATOR CONTINUES TO INDICATE THE PHYSICAL HORMUZ TRANSIT WILL TAKE “WEEKS” TO RESUME CITING MINES, DRONES, MISSILE RISK, AND CREW-ROTATION LOGISTICS

For FCI's energy sleeve (DVN ↓1.47% to \$42.89, CVX ↓0.16% to \$180.11, OKE ↓1.30% to \$86.31, VLO ↓1.23% to \$244.13, CNX ↑1.33% to \$33.40), Tuesday's drawdown materially decelerated versus Monday's ↓3% to ↓4% session, suggesting the cohort has begun to price the structural Brent-compression scenario rather than the deal-event drawdown. Per the data drop's holdings news section, the VLO headline reportedly frames the refiner's supply test as Hormuz reopens, layering onto the physical-reopen lag noted by Reuters; per the same news run, NTR carries Bloomberg coverage indicating the Hormuz reopening could reportedly unleash pent-up Gulf grain demand. The position-symmetric framework Carson has anchored across recent briefs operates through cash-flow durability (DVN's 70% shareholder-return framework, CVX's dividend complex, OKE's midstream stability, VLO's refining-margin tape) under a Brent lower-volatility regime that may follow the Hormuz physical reopen. **The physical world matters.**

THE ISRAEL-LEBANON TRACK REMAINS THE PRINCIPAL KNOWN FRAGILITY HEADING INTO FRIDAY'S GENEVA SIGNING — PER CNBC AND AL JAZEERA COVERAGE CITED VIA THE PRIOR BRIEF CYCLE, PRIME MINISTER NETANYAHU HAS REPORTEDLY DECLINED TO TREAT ISRAEL AS BOUND TO THE LEBANON-RELATED PORTIONS OF THE FRAMEWORK, AND RENEWED IDF STRIKES IN THE BEIRUT AREA LAST WEEK REPORTEDLY PROMPTED IRAN TO CONSIDER A RESPONSE BEFORE U.S. INTERVENTION PER CNBC COVERAGE — THE RISK VECTOR COULD REINTRODUCE GEOPOLITICAL PREMIUM INTO THE BRENT COMPLEX DURING THE PHYSICAL-REOPEN WINDOW

Per Reuters coverage in the data drop's headline run, the G7 leaders' summit at Évian-les-Bains concludes Wednesday with European leaders reportedly pressing for Iran-deal implementation details and Hormuz-reopen timelines, layering secondary headline risk onto the FOMC tape; per the same run, BMW issued a profit warning citing the Iran war and China weakness, framing the conflict's ongoing earnings overhang for European exporters. For FCI's defense sleeve (LMT ↑1.05% to \$535.95, GD ↑1.27% to \$364.11), the long-cycle backlog framework holds independent of the frame-

work's execution: per the data drop's LMT news run and the prior brief's WSJ coverage of the GM-Lockheed weapons-parts collaboration, the production-scale variable continues to anchor the cohort. **The physical world matters.**

BRENT (BNO) TUE	\$43.89 · ↓4.69% · framework drawdown extended
WTI (USO) TUE	\$115.47 · ↓4.74%
GENEVA SIGNING	Fri Jun 19 · VP Vance & SE Witkoff for U.S. per CBS
IRAN SIGNATORY	Speaker Qalibaf per Reuters
HORMUZ PHYSICAL REOPEN	"Weeks" per largest tanker operator via Reuters/FT
ISRAEL-LEBANON	Netanyahu reportedly not bound to Lebanon track
G7 SUMMIT	Évian · concludes Wed · Iran-deal pressure per Reuters
BMW	Profit warning citing Iran war & China per Reuters

On Our Radar

1. Warsh's first FOMC concludes today with the 2 PM ET decision, the fresh dot plot and SEP, and the 2:30 PM press

conference per the Federal Reserve calendar. Per CME FedWatch coverage cited via StockTitan and Kiplinger preview, the implied probability of a hold at the 3.50–3.75% target range sits at approximately 97%, framing the meeting around the dot-plot 2026 median (whether the last projected cut drops out), the bias-language shift away from a previously eased posture, and Warsh's communication style. Per Tradingkey coverage, Warsh has historically criticized forward guidance and may withhold his own dot. May Retail Sales, durable goods, international trade, and wholesale inventories print at 8:30 AM ET per the Census Bureau and StockTitan economic-calendar coverage. For FCI's rate-sensitive sleeves (TLT, IBIT, ETHA, the AI-infrastructure growth backbone), this is the principal cross-asset variable into Thursday's session; Friday is the Juneteenth holiday with U.S. equity and bond markets closed per the standard exchange calendar. *Avoid Erosion.*

2. The chip-cohort drawdown Tuesday materially reversed Monday's vertical move — MRVL ↓9.78% to \$278.67, CRDO ↓7.80% to \$239.18, AMD ↓7.30% to \$507.29, LRCX ↓5.03% to \$369.34, NXPI ↓4.11%, TSM ↓3.53%, QCOM ↓3.05%, NVDA ↓2.37% per the data drop.

Per the data drop's holdings news section, QCOM reportedly launched a new AI data center program with a major hyperscaler and AMD reportedly signed a Rackspace deal to build a 30 MW enterprise AI cloud, both framing the structural AI-infrastructure thesis independent of the day's tape volatility. Per the same news run, the Yahoo "AI Photonics" coverage on AAOI, LITE, COHR, and MRVL notes overnight bounces, suggesting the after-hours framing is constructive. For the FCI growth book, the cohort's mean-reversion behavior reflects positioning unwind into the Warsh FOMC rather than a structural thesis change; the AI data-center awards continue to layer through the Q3 reporting cycle. *Research Reveals Opportunities.*

3. The Dow's defensive-cyclical lift to a fresh record (proxy \$521.44 ↑0.58% per the data drop, reportedly crossing 52,000 for the first time per TheStreet) ran alongside the chip drawdown — CAT ↑1.23% to \$945.46, LMT ↑1.05% to \$535.95, GD ↑1.27% to \$364.11, GPC ↑2.51%, ABT ↑2.20%. The dispersion signal is the analytical takeaway: XLF ↑1.48%, XLU ↑0.72%, and XLI ↑0.65% led while XLK ↓2.79% trailed, with TLT ↑0.55% to \$86.19 layering the curve bid into the Warsh tape. For FCI's dividend sleeve, the rotation tape supports the cohort's relative-strength profile through the FOMC; for the AI-infrastructure growth backbone, the mean-reversion behavior is consistent with positioning unwind rather than thesis change. The VST ↑3.32% to \$158.61 print on Bernstein's reported power-demand commentary per the data drop news run aligns with the physical-AI-infrastructure thesis. *Think Like an Owner.*

4. The energy sleeve's Tuesday move materially decelerated versus Monday's drawdown — DVN ↓1.47% to \$42.89, CVX ↓0.16%, OKE ↓1.30%, VLO ↓1.23% — while Brent (BNO ↓4.69% to \$43.89) and WTI (USO ↓4.74% to \$115.47) extended the framework-resolution drawdown.

Per the data drop's VLO and NTR headlines, the refining and fertilizer complexes carry differentiated reads: VLO reportedly faces a new supply test as Hormuz reopens, while NTR reportedly carries the Bloomberg coverage that the Hormuz reopening could unleash pent-up Gulf grain demand. The cohort's deceleration suggests the position-symmetric framework has begun to weight the structural Brent-compression scenario over the deal-event drawdown; the Hormuz physical-reopen lag ("weeks" per the largest tanker operator via Reuters) and the Israel-Lebanon track retain two-sided event risk through Friday's Geneva signing. *Think Like an Owner.*

5. The digital sleeve compressed modestly Tuesday with IBIT ↓1.51% to \$37.17 and ETHA ↓1.60% to \$13.54 per the data drop, while COIN closed effectively flat at \$169.27 (↓0.21%) and HOOD ↓1.44%. Per the data drop's holdings news run, COIN reportedly joined the tokenized stock race with onchain shares and dividends, layering onto the digital-rails complex's structural thesis. The Warsh FOMC and the dot plot remain the principal cross-asset variables for the digital sleeve through Thursday, with the rate-path framing and any communication signal on the regulatory complex carrying material weight for IBIT, ETHA, COIN, and HOOD. *Simplicity Over Complexity.*

6. Carson's active SPY \$645.80 support remains materially untouched. Tuesday's S&P 500 proxy range (\$749.88–\$755.44 per the data drop) carried well above Carson's framework, leaving the level as the committee's downside reference rather than an actionable near-term marker. The CNN Fear & Greed gauge sits in the "Fear"

range per the live CNN endpoint as of the June 16 read (the data drop's F&G fell back to the crypto index at 22 "Extreme Fear" per the workflow note), continuing to frame the rotation tape as occurring against still-cautious sentiment positioning rather than euphoric flow. The position-symmetric framework remains anchored on Carson's level through the Warsh FOMC, the Geneva signing window, and the holiday-compressed post-decision tape. *Simplicity Over Complexity.*